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4. Exemptions

As we discussed before, some of the income that you earn might not be taxable, meaning it might be exempt from being taxed! There are also cases where if you invest your earnings in certain assets then the income becomes tax exempt.

Let's look at exempt income in detail:

a. Salary

Exemptions	Description
House Rent Allowance	Least of the following is exempt: a) Actual HRA Received b) 40% of Salary (50%, if house situated in Mumbai, Calcutta, Delhi or Madras) c) Rent paid minus 10% of salary * Salary= Basic + DA (if part of retirement benefit) + Turnover based Commission.
Leave Travel Allowance	Leave Travel Allowance or LTA is a type of allowance given to the employee by employers for travel. It covers within-country travel costs when the employee is on leave from work.
Children Education Allowance	You can claim up to INR 100 per month per child for a maximum of 2 children. This helps cover the cost of their education.
Hostel Expenditure Allowance	If your child stays in a hostel, you can claim up to INR 300 per month per child, again for a maximum of 2 children. This helps with the expenses of their stay.
Conveyance Allowance granted to meet the expenditure on conveyance in performance of duties of an office	Exempted to the extent of expenditure incurred for official purposes.